



Clean Energy Tax Incentives for Individuals

The Inflation Reduction Act of 2022 ("IRA") makes several clean energy tax credits available to individuals.
[IRS.gov/CleanEnergy](https://www.irs.gov/CleanEnergy)

Tax Provision

Description

Credit for New Clean Vehicles
(\$ 30D)

For buyers of new clean vehicles that meet certain requirements, as well as buyer income and manufacturer suggested retail price limits. Learn more and see eligible vehicles at [Fuel Economy.gov](https://www.fueleconomy.gov)
Credit Amount: Up to \$7,500 for qualifying vehicles, which can be applied to the purchase price of the vehicle starting January 1, 2024.¹

Credit for Previously Owned Clean Vehicles
(\$25E)

For buyers of certain previously-owned clean vehicles sold in the first transfer after 12/31/22 for \$25,000 or less. Subject to buyer income limits. Vehicles must be at least 2 model years old, be purchased from a registered dealer, and buyers must not have been allowed a 25E credit in the 3-year period prior to the sale of the qualifying vehicle. Learn more and see eligible vehicles at [Fuel Economy.gov](https://www.fueleconomy.gov)
Credit Amount: The lesser of \$4,000 or 30% of sale price, which can be applied to the purchase price of the vehicle starting January 1, 2024.¹

Alternative Fuel Vehicle Refueling Property Credit
(\$ 30C)
Includes Electric Vehicle Charging Equipment

For alternative fuel vehicle refueling and charging property, including home electric vehicle charging stations, located in low-income and non-urban areas. Qualified fuels include electricity, ethanol, natural gas, hydrogen, and biodiesel.
Credit Amount: 30% of the cost of hardware and installation up to \$1,000 for individuals; for businesses, 6% of basis and can increase to 30% if PWA is met.²

Energy Efficient Home Improvement Credit
(\$ 25C)
See page 2 for more details.

Provides a tax credit for energy-efficiency improvements of residential homes
Credit Amount: 30% of cost, with limits for each type of improvement and total per year. To qualify, home improvements must meet energy efficiency standards. They must be new systems and materials. Eligible expenses include efficient heating and cooling equipment, windows, doors, heat pumps, insulation and air sealing materials. See page 2 for more information and annual limits.

Residential Clean Energy Installation Credit
(\$25D)

Provides a tax credit for the purchase of residential clean energy equipment, including battery storage with capacity of at least 3 kWh. These expenses may qualify if they meet certain energy efficiency requirements:

- Solar, wind, and geothermal power generation
- Solar water heaters
- Fuel cells
- Battery storage

Credit Amount: 30% of cost of equipment through 2032; 26% in 2033; 22% in 2034.

Notes:

The information in this document may be subject to change as guidance is issued or finalized. For all IRA clean energy tax credits, please see [IRS.gov/CleanEnergy](https://www.irs.gov/CleanEnergy) for further details and eligibility requirements.

¹ Starting January 1, 2024, the amount of a new clean vehicle or previously owned clean vehicle tax credit can be transferred to a dealer for an equivalent reduction in the eligible vehicle's sales price, deemed down payment, or cash.

² Credit is multiplied by 5 (from 6% to 30%) for projects that meet prevailing wages and apprenticeship requirements or other requirements.

Equipment Type		Tax Credit Available For 2023-2032 Tax Years
Other Energy Efficiency Upgrades	Home Clean Electricity Power Generation and Storage Products	
	Solar Panels	30% of cost
	Fuel Cells	
	Wind Turbine	
	Battery Storage	
	Heating, Cooling, and Water Heating	
	Heat pumps (note: heat pumps also provide air conditioning)	30% of cost, up to \$2,000 per year
	Heat pump water heaters	
	Biomass stoves	
	Geothermal heat pumps	
	Solar (water heating)	30% of cost
	Efficient air conditioners*	30% of cost, up to \$600
	Efficient heating equipment*	30% of cost, up to \$600
	Efficient water heating equipment*	
	Other Energy Efficiency Upgrades	
	(Electric panel or circuit upgrades for new electric equipment*)	30% of cost, up to \$600
	Building Envelope (including insulation materials and air sealing)*	30% of cost
	Windows, including skylights*	30% of cost, up to \$600
	Exterior doors*	30% of cost, up to \$500 for doors (up to \$250 each)
	Home Energy Audits*	30% of cost, up to \$150
	Electric Vehicle Charging Equipment	
	Home Electric Vehicle Charger	30% of cost, up to \$1,000

Notes:

* Subject to the Energy Efficient Home Improvement credit's total annual credit limit of \$1,200. There is a separate annual \$2,000 limit for heat pumps. Credit capped at \$600 for "energy property," e.g. efficient heating and cooling equipment; \$600 for windows; \$250 per door, \$500 total for doors; \$2,000 for heat pumps; \$1,200 for qualified energy efficiency improvements to the building envelope, including insulation and air sealing. \$150 credit for home energy audits.